Nov 2025 DOFLE: Planning deviations

OUTLINE:

Analysis of deviations of Merchandising Planning to Buying was done for time period Apr 1, 2025 - Nov 20, 2025 and the document highlights the following:

- Summary
  - Analysis summary
  - Action Taken
  - Challenges in the analysis
- Business Impact
- Appendix: Examples (based on detailed analysis)

SUMMARY OF THE ANALYSIS:

Observation-1: Lot of deviation between merchandise planned vs merchandise actually bought

- **Details:**
  - **Number of options suggested by Increff vs. Number of options actually bought** → deviation is **70%** . Based on this, observation is: Buyers tend to purchase fewer options than those suggested by the system.
  - **Shortlisted-to-Buy vs. Costing finalized Deviation**: For instance: In **5 brands**, no shortlisted options have been finalized for costing.
- **Business impact:**
  - **Reduced Assortment and Customer Choice**: Fewer options are being procured than what was system-recommended, resulting in limited variety and freshness on the shop floor constraining customer choice and may impact conversion rates. [Nitin sir highlighted last month that customers are seeing less varieties in store even in hero brands]
  - **Process Gaps**: Costing and procurement steps are being bypassed, leading to poor compliance and audit risks.
  - **Loss of Data-driven Control**: Manual overrides in Distribution Plan during PO Creation hinders data-backed decisions and alignment with demand.
- **Reasons:**
  - Options in planning (RA Suggestions) are based on AOP whereas actual buy happens based on Current Stock and OTB leading to system deviation between options suggested by system and actual need to buy.
  - Core Styles being planned **in reordering module. however the pipeline from Reordering to Distribution Plan is not operational as of date.**

Observation-2: Buy Plan VS PO Created Deviation :

- **Details**:
  - Even after the Buying decision is done, actual purchase made (PO) is deviant. The system cannot control this because buyers create Manual Distribution plan and add all the options they want to buy and create Purchase order.
  - We are seeing both positive and negative deviation which means, Options are getting dropped post Buy Plan are getting finalized (negative deviation) and also Options are getting added post Buy Plan creation (Positive

deviation)

- For instance in case of **Azorte and Yousta,** the number of style options for which POs were created was **2 times** that of the options for which costing was done.

- **Reason**:
  - **Process Breakdown**: Manual Distribution Plan (DP) ingestion upload bypasses system controls, causing inconsistency across brands. (Manual DP → though DP run by system , it is downloaded and modified by the Buyers)
    - The Distribution Plan (DP) is manually submitted for PO creation, allowing buyers to adjust system-derived plans. Manual submission is required as budgets are not auto-linked through the planning tool.
- **Business Impact:**
  - **Inventory Risks**: POs vastly differ from planned styles, leading to inventory mismatches and higher carrying costs.
  - **Loss of Visibility**: Minimal use of the system erodes data integrity and affecting forecasting, replenishment and enterprise-wide decision making.
  - **Strategy Dilution**: When most brands skip approved processes, assortment and market response become uncoordinated.
  - **Pre-Production impact**: If options are being dropped post Costing completion, this will impact pre-production activities on vendor.

Action taken:

- Inputs from Nitin sir :Till December , these deviations will be present as B&M team are working on festive needs and system works from past and past months/year have been a bit unstable (in terms of revenue)

Challenges in data analysis :

- At present, style validation is not being performed during PO creation.
- The Actual PO delivery date may differ from the HIT specified in the purchase order.

Detailed Analysis:

- Average deviation from Planning to Actual Buy (DP→ PO) across each format
- We see huge variance (~90%) in styles in RA vs those shortlisted to buy in PLM across formats with relatively lesser variance in subsequent stages

	A	B	C	D
1	**Format/ Deviations (# of Styles)**	**Style in RA vs Styles Shortlisted to Buy in PLM**	**Shortlisted to buy VS Submitted for Costing**	**Costing Done vs PO Created**
2	AZORTE	90.61%	5.89%	9.95%
3	TRENDS	92.83%	12.10%	8.67%
4	FASHION FACTORY	91.88%	4.01%	9.97%
5	YOUSTA	89.99%	14.46%	14.24%

Example: Sample Deviations for “Altheory by Azorte” and “RIO” :

	A	B	C	D	E
1	**Format**	**Brand**	**Styles in RA vs Styles Shortlisted to Buy in PLM**	**Shortlisted to buy VS Submitted for Costing**	**Costing Done vs PO Created**
2	AZORTE	ALTHEORY BY AZORTE	89.81%	6.47%	6.32%
3	TRENDS	RIO	84.97%	44.59%	4.01%

- RIO Brand has substantial variance in styles that are shortlisted to buy vs those submitted for costing ; likely feasibility or approval issues.

APPENDIX:

August Hit data

	A	B	C	D
1	**Format/ Deviations (# of options)**	**Options in RA vs Options Shortlisted to Buy in PLM**	**Shortlisted to buy VS Submitted for Costing**	**Final Buy Plan vs PO Created**
2	AZORTE	86.93%	33%	52.24%
3	TRENDS	50.87%	23%	8.41%
4	FASHION FACTORY	36.57%	9%	-27.47%
5	YOUSTA	22.86%	16%	-40.08%
6	**Average**	50.94%	20%	

Example: Sample Deviations for “Altheory by Azorte” and “RIO” :

	A	B	C	D	E
1	**Format**	**Brand**	**Options in RA vs Options Shortlisted to Buy in PLM**	**Shortlisted to buy VS Submitted for Costing**	**Costing Done vs PO Created**
2	AZORTE	ALTHEORY BY AZORTE	94.08%	39%	98.11%
3	TRENDS	RIO	94.83%	42%	68.42%